Residual Income · EVA · Free Cash Flow — Diamante Mind Map

Calculation format · when to use · pros & cons **specific to Diamante** — for the proposed long-term incentive scheme

DIAMANTE — VALUE & CASH MEASURES

two mines (each a CGU) · R1.7bn loss · refinancing pending · bonuses paused · new LTI scheme tabled

1 · Residual Income (RI)

CALCULATION FORMAT

```
RI = NOPAT − (WACC × net investment)
```

```
Diamante group: NOPAT ≈ (979) − 12%×4 419
= ≈ (R1 509m) → value destroyed
```

WHEN TO USE FOR DIAMANTE

Reward each **mine manager** on the value their own mine adds above its capital charge.

PROS — FOR DIAMANTE

- Each mine is already a **separate CGU** with its own assets, so a per-mine RI can be built without new systems
- A deeply negative RI (≈ −R1.5bn) plainly shows value is being destroyed, backing the decision to **pause bonuses**
- Stops a manager rejecting a good project just to protect a % return

CONS — FOR DIAMANTE

- Built on accounting profit, which is distorted by the **R963m impairment** and the **R405m Botswana profit** — must be normalised first
- Absolute rand figure, so Mine 1 and Mine 2 (different sizes) are hard to compare directly
- The WACC is unstable while the **refinancing** is unresolved

Verdict: good per-mine value gate — but normalise the one-offs and split the WACC per mine.

2 · Economic Value Added (EVA)

CALCULATION FORMAT

```
EVA = (NOPAT ± adj.) − WACC × (net inv. ± adj.)
```

```
Diamante: add back the R963m impairment,
capitalise mining leases → ≈ (R1 500m)
```

WHEN TO USE FOR DIAMANTE

Reward the **executives** on long-term group value, with a **bonus bank** that forfeits in negative years.

PROS — FOR DIAMANTE

- Adding back the **impairment** and capitalising equipment leases gives a truer economic result than the reported loss
- Discourages the short-termism of cutting essential **mine development / maintenance** to flatter profit
- A bonus bank fits perfectly with bonuses already being **paused** until value returns

CONS — FOR DIAMANTE

- Brand / R&D adjustments add little for a miner, so the complexity buys less than in a consumer business
- Very sensitive to WACC — hard to set credibly with the **capital structure in flux** pre-refinancing
- Judgemental adjustments could be gamed by a board keen to justify a bonus

Verdict: best exec long-term measure — but only once the WACC and adjustments are set independently.

3 · Free Cash Flow (FCF)

CALCULATION FORMAT

```
Simple = op. cash flow − sustaining capex
```

```
Diamante proxy: adj. EBITDA ≈ R207m
(more than halved from R540m) before capex
```

WHEN TO USE FOR DIAMANTE

The **headline measure now** — reward the cash that funds the **refinancing** and keeps the company solvent.

PROS — FOR DIAMANTE

- Cash, not profit, is what secures the **refinancing** and going concern — this rewards exactly that
- Hard to manipulate, so it is not distorted by the impairment or the Botswana one-off
- Still weakly positive (≈ R207m) so, unlike a loss-based target, it can carry a **meaningful goal**

CONS — FOR DIAMANTE

- Deep-level mining is **capital-intensive**, so heavy sustaining capex naturally depresses FCF
- A manager could hit FCF by **deferring essential capex / safety spend** — dangerous in deep mines
- Swings with the uncontrollable **diamond price**, so it needs a benchmark to stay fair

Verdict: the priority KPI for survival — but ring-fence essential capex so it can't be gamed.

NOPAT/net-investment conventions & the RI/EVA method are from the IAC MAF notes; Diamante figures are illustrative from the draft pre-release (group loss R1 719m, finance cost R378m, net investment ≈ R4 419m, assumed WACC 12%, adj. EBITDA R207m). Recommended blend: FCF for survival (headline) + per-mine RI + a banked group EVA for executives, with one-offs normalised and essential capex ring-fenced.